BCG X • SME DIVISION STEERING COMMITTEE SUMMARY

Executive Summary: SME Price Sensitivity & Churn Strategy

Price cuts alone will not stem SME customer churn; predictive targeting combined with value-driven retention offers maximum bottom-line impact.

9.72%
ANNUAL SME CHURN RATE
Translates to ~1,418 high-margin SME client losses annually out of a total 14,606 base.

90.86%
PREDICTIVE MODEL ACCURACY
Random Forest model accurately flags churn risk drivers using historical usage & billing patterns.

< 1%
CHURN IMPACT FROM PRICE
Price sensitivity is a minor driver compared to tenure, net margin, and total consumption volume.

KEY FINDINGS & DIAGNOSTIC INSIGHTS

1. Price Sensitivity vs. Real Churn Drivers

- **Price is not the primary driver:** Statistical hypothesis testing confirms price sensitivity correlates minimally with customer churn.
- **Critical predictors identified:** High net margin accounts, shorter client tenure, and annual contract renewal proximity drive 80%+ of model predictive power.
- **Risk of blanket discounts:** Giving a 20% price cut across the board will dilute margins without changing churn behavior for high-risk accounts.

2. Financial Impact of Predictive Targeting

- **Precision retention:** Deploying our Random Forest model allows the client to target only top-decile churn-risk SME customers.
- **Cost-benefit threshold:** Offering targeted 20% discounts exclusively to top-risk accounts preserves significant baseline revenue.
- **Bottom-line uplift:** A targeted strategy prevents massive revenue leakage while dramatically reducing campaign execution cost.

STRATEGIC RECOMMENDATIONS & ACTION PLAN

PILLAR	RECOMMENDED ACTION	IMPACTED GROUP	PRIORITY
Targeted Retention	Deploy RF predictive scoring to issue targeted 20% retention offers 60 days prior to contract renewal.	Top 10% Risk SMEs	HIGH PRIORITY
Onboarding & Tenure	Implement dedicated customer success outreach for new accounts within their first 12 months.	New SMEs (< 1 Yr)	HIGH PRIORITY
Product Bundling	Shift focus from price discounts to bundling green energy options and multi-fuel perks to lock in tenure.	Mid-Margin SMEs	MEDIUM
Operational Integration	Integrate model churn risk scores directly into the SME sales team's CRM workflow.	Sales & Servicing	NEXT STEP

"SO WHAT?" — STRATEGIC TAKEAWAY FOR THE HEAD OF SME

Replacing a reactive, universal price discount with our machine-learning model transforms retention from a cost center into a profit preserver. By focusing marketing capital strictly on high-probability churners identified by our algorithm, the SME division can protect margins while retaining its most valuable commercial accounts.